

Spending Money and Budgeting



Household Expenditure

Rent \$320	Gas and electricity \$30	Phones \$20
Internet \$15	Entertainment/Eating out \$100	Clothing \$75
Car \$160	Bus/train travel \$20	Insurances \$40
Loan repayments \$95	Food \$200	Sports and Gym \$50
Health fund \$80		

- Fixed expenditure
- Discretionary expenditure

- Fixed expenses

Fixed expenses generally remain the same every month (e.g. rent, internet charges, health fund, insurance). These expenses are usually paid on a regular basis, such as weekly, monthly or quarterly.

- Discretionary spending

A discretionary expense can be recurring or non-recurring costs for non-essential items or services. It is generally not a fixed amount (e.g. the cost of eating out, buying new clothes etc.)

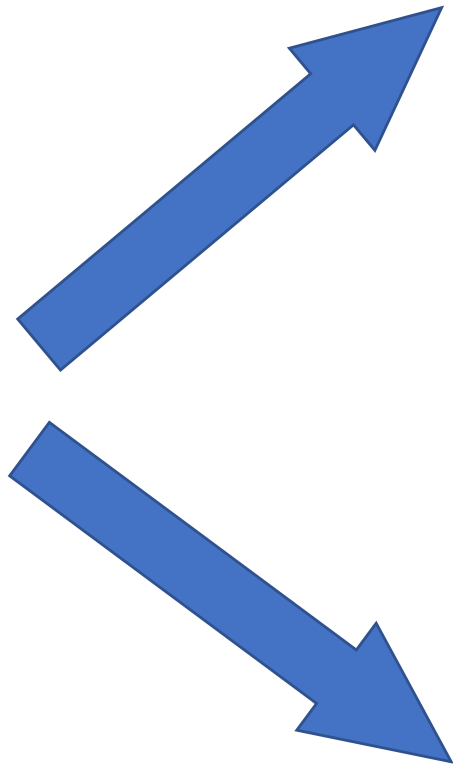
Income - Expenditure

> 0

SURPLUS

< 0

DEFECIT



Budgeting

- An estimate of income and expenditure over a certain period of time.
- What for?
 - To determine if we are in surplus deficit
 - To determine if we can cut down on some expenditure
 - To work out saving goals

Weekly Budget			
Income		Expenditure	
Family benefit	\$80	Bus/train travel	\$20
Wages & Salary (after tax)	\$1250	Car	\$160
		Clothing	\$75
		Ent/Eating out	\$100
		Food	\$200
		Gas & Elec	\$30
		Health fund	\$80
		Internet	\$15
		Insurances	\$40
		Loan repayment	\$95
		Phones	\$20
		Rent	\$320
		Sports & Gym	\$50
Total Income	\$1330	Total Expenditure	\$1205
		Income - Expenditure	\$125

Be careful

- Information will be given in
 - MONTHLY
 - WEEKLY
 - FORTNIGHTLY
- Need to know how to convert from one to the other.

Lucy was saving for an overseas trip and accepted some extra casual work. She set up a weekly budget, as shown in the table below, and aimed to save \$150 per week.

Income		Expenses	
Wages	\$ 681	Rent	\$ 265
Casual wage	\$_____	Groceries	\$ 143
		Fares	\$ 42
		Car loan	\$ 90
		Petrol/car maintenance	\$ 63
		Entertainment	\$ 185
		Savings	\$_____
Total:	\$ 884	Total:	\$_____

- How much did Lucy earn from her casual job?
- To balance her budget, what should be the total of Lucy's expenses?
- How much can Lucy save per week?
- Suggest a way Lucy could increase her savings to \$150 per week.

Karen earns \$610 a week after tax. She rents a furnished unit with a friend and her share of the rent is \$350 a fortnight. She spends about \$210 a week on food, household items and toiletries. She catches the train to work each weekday and pays \$4.90 for a return ticket. The power bills total about \$280 a quarter and she pays half of this. Karen estimates that she spends \$310 a month on clothes.

Draw up a weekly budget and work out how much she can save in a year if she sticks with this budget.